

26STCP00539 26STCP00539

County: los-angeles

Division: Civil Law and Motion

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Case Number: 26STCP00539 Hearing Date: July 29, 2026 Dept: 833

Susan Raymond Case No. 26STCP00539

Hearing:

July 29, 2026

v. Location:

Stanley Mosk Courthouse

Department:

833 Carmelita Investments Inc. and Judge:

Joseph Lipner

The

Carmelita Group

[Tentative] Order on

Motion for Attorneys Fees and Motion for Leave to Amend the Complaint

Plaintiff Susan Raymond

("Plaintiff") moves for an award of attorneys' fees in the amount of \$45,878.75

as a result of prevailing on the first cause of action for Inspection of

Records. The Defendants in this case are Carmelita Investments Inc. and The

Carmelita Group ("Defendants").

The Court DENIES without prejudice the Motion

for Attorneys Fees.

The Court DENIES without prejudice

the motion to amend the second through fifth claims, and will discuss with the parties whether it makes sense to grant the motion for leave to amend as to the first cause of action only. Once the first claim is complete, the Court will transfer this case to Department 534 (previously Department 1) for reassignments to an independent civil courtroom.

The motion for leave to intervene is permanently off calendar as a result of the July 21, 2026 stipulation.

BACKGROUND

On August 7, 2025, Plaintiff served on Defendants a written demand for inspection of partnership records under Corporations Code Section 15901.11 and 15903.04. (Shapiro Decl., ¶ 4.) Defendants produced the Partnership Agreement and three amendments but produced no tax returns, no financial statements, and none of the other records required by statute. (Shapiro Decl., ¶ 4.)

On March 20, 2026, after Plaintiff filed their Complaint, Defendants produced tax returns, K-1s, and financial statements responsive to the August 7, 2025 demand. (Shapiro Decl., ¶ 6.)

PROCEDURAL HISTORY

Petitioner filed a Complaint on February 6, 2026 with the following causes of action: (1) Inspection of Records of The Carmelita Group, L.P., (2) Breach of Fiduciary Duty; (3) Accounting – The Carmelita Group, L.P.; and (4) Breach of Partnership Agreement.

On February 9, 2026, the Court stayed the second, third, and fourth causes of action pending resolution of the first cause of action.

On June 1, 2026, Julie Klaunser filed a Motion to Intervene.

On June 24, 2026, Plaintiff filed a Motion for Attorneys Fees.

On July 1, 2026, Plaintiff filed a Motion for Leave to

File a First Amended Verified Complaint.

On July 13, 2026, Julie Klausner filed an Opposition to the Motion for Attorneys Fees.

On July 16, 2026, Defendants filed an Opposition to Plaintiff's Motion for Leave to File an Amended Complaint and Motion for Attorneys Fees.

On July 21, 2026, the parties agreed to take the Motion for Leave to Intervene off calendar as moot.

MOTION FOR ATTORNEYS FEES DISCUSSION

A.

Legal Standard

Article 15.4 of the Partnership Agreement provides:

15.4 Attorneys' Fees. In the event of any litigation or other dispute resolution proceedings among any Partners arising out of or in connection with this Agreement, the prevailing party shall be reimbursed for all reasonable costs, including, but not limited to, reasonable accountants' fees and attorneys' fees, incurred in connection with such proceedings (including, but not limited to, any appellate proceedings relating thereto) or in connection with the enforcement of any judgment or award rendered in such proceedings (for which purpose this provision shall survive, and shall not merge in, any such judgment or award and may be the basis for a separate recovery action by the prevailing party). "Prevailing party" within the meaning of this Section shall include, without limitation, a party who dismisses an action for recovery hereunder in exchange for payment of the sums allegedly due, performance of covenants allegedly breached or consideration substantially equal to the relief sought in the action.

(Complaint, Exh. 2.)

Civil

Code Section 1717, subd. (a) provides:

(a) In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs.

B.

The Court cannot make a determination of who was the "prevailing party" at this time

Plaintiff

asks to be labeled the prevailing party on the first cause of action, based on Article 15.4 of the Partnership Agreement.

Defendant

Carmelita Investments, Inc. is the general partner of The Carmelita Group, L.P., and a party to this action, and the dispute concerned Plaintiff's rights as a limited partner under the Agreement. The litigation is therefore among partners within the meaning of Article 15.4.

The

first cause of action enforced rights the Partnership Agreement and the limited partnership statutes secure to Plaintiff as a limited partner; the partnership agreement itself may not "unreasonably restrict the right to information under Section 15903.04." (Corporations Code, § 15901.10, subd. (b)(4).) Thus, this litigation arises out of the Partnership Agreement.

As

part of this litigation, Plaintiff secured the tax returns, K-1s, and financial statements responsive to the August 7, 2025 demand that Defendants had previously not produced. (Shapiro Decl., ¶¶ 2, 6.)

However,

Plaintiff is not the prevailing party, at least not yet. "The prevailing party determination is to be made only upon final resolution of the contract claims and only by 'a comparison of the extent to which each party ha[s] succeeded and

failed to succeed in its contentions.” (DisputeSuite.com, LLC v. Scoreinc.com (2017) 2 Cal.5th 968, 974.) There are claims for breach of fiduciary duty and breach of the partnership agreement – both claims that relate to the Partnership Agreement.

Plaintiff

is also not entitled to attorneys fees on the first cause of action right now.

In *Chen v. Valstock Ventures, LLC* (2022) 81 Cal.App.5th 957, 970, the Court of Appeal reviewed a case where the trial court had granted summary adjudication on one claim but not other claims. The Court of Appeal concluded that the language of Code of Civil Procedure Section 1717 means “the Legislature intended attorney’s fees...to be awarded only at the conclusion of all litigation in a case....” (Id., at p. 973.) There is no evidence that “the Legislature intended to allow for interim awards of attorney’s fees upon the resolution of the contract claims in a case even if further litigation remains on noncontract claims.” (Id., at p. 974.) “The statute creates no exceptions for cases in which contract claims are disposed of earlier than noncontract claims, such as through a demurrer or summary adjudication...” (Id., at p. 976.)

Indeed,

interim attorney’s fees awards are anomalous in civil litigation. There is no indication that the Legislature intended “to depart from well-established principles that fees and costs are ordinarily not granted for interim success, and that the prevailing party is determined, and fees and costs awarded, at the conclusion of the litigation.” (*Artus v. Gramercy Towers Condominium Association* (2018) 19 Cal.App.5th 923, 927.)

The

litigation is not concluded yet. Multiple other causes of action remain pending. Plaintiff can file for an award of attorneys fees at the conclusion of the litigation, if Petitioner is the “prevailing party” in the context of the entire litigation.

MOTION FOR LEAVE TO
AMEND

A.

Legal Standard

Leave

to amend at any time is liberally allowed in the interests of justice and in the absence of prejudice to another party, even up to the time of trial. (Code Civ. Proc., §§ 473(a)(1) & 576; Magpali v. Farmers Group, Inc. (1996) 48 Cal.App.4th 471, 487.) “[T]he trial court has wide discretion in allowing the amendment of any pleading.” (Record v. Reason (1999) 73 Cal.App.4th 472, 486.)

“[It]

is a rare case in which ‘a court will be justified in refusing a party leave to amend his pleadings so that he may properly present his case.’ [Citations.] If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense.” (Morgan v. Sup. Ct. (1959) 172 Cal.App.2d 527, 530.)

“It

is the general policy that courts should exercise liberality in permitting the filing of supplemental pleadings when the alleged ‘occurring-after’ facts are pertinent to the case.” (Flood v. Simpson (1975) 45 Cal.App.3d 644, 647.)

“If

the proposed amendment fails to state a cause of action, it is proper to deny leave to amend.” (Foxborough v. Van Atta (1994) 26 Cal.App.4th 217, 230.) However, “even if the proposed legal theory is a novel one, ‘the preferable practice would be to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings.’” (Kittredge Sports Co. v. Sup.Ct. (1989) 213 Cal.App.3d 1045, 1048.)

B.

There is no need for Plaintiff to amend the first cause of action

Plaintiff seeks to add

the following paragraphs to the first cause of action:

49. On or about March 20, 2026 -- after this action

was filed, and only as a result of this action -- Defendants produced the documents that Plaintiff Raymond had originally demanded in the August 7, 2025 demand letter. Defendants would not have produced those records absent this action.

50. Defendants' production was limited to the documents originally demanded on

August 7, 2025; it did not include the additional documents and information that Plaintiff

Raymond subsequently requested, which are the subject of the Second Cause of Action.

51. Because Plaintiff Raymond obtained the production of the demanded records

through, and as a direct result of, this action, Plaintiff Raymond is the prevailing party with respect to this cause of action.

(Shapiro Decl, ¶ 2, Exh. B.)

Technically speaking, Plaintiff has met all of the requirements to add these paragraphs to the first cause of action. Defendants have not identified any prejudice from these paragraphs being added to the complaint. Plaintiff has met all of the requirements of California Rules of Court, Rule 3.1324. From a technical perspective, the Court can grant leave to amend.

From a practical perspective, Plaintiff's amendments appear to be contrary to the goal of expeditiously prosecuting a civil case. None of the added paragraphs allow Plaintiff to "properly present his case" or argue a "meritorious cause of action." The question of whether Plaintiff has prevailed is not an "allegation" to be included in a Complaint. It is a legal question for both parties to brief and for this Court to decide at the conclusion of the entire case.

The existing complaint already allows Plaintiff to recover attorneys fees. (Complaint, ¶ 55.) Paragraph 50 is also not needed to

support the second cause of action. Paragraphs 32, 58, and 64 cover the additional documents Plaintiff is requesting as part of the second cause of action.

If

Plaintiff proceeds with amending the Complaint, the Court will have to delay transferring the case to Department 534 for expeditious resolution of the other causes of action. Instead, the Court will be required to let the parties conduct further briefing in Department 833 and/or discovery on these new "allegations."

Therefore,

the Court wishes to discuss with Plaintiff whether these allegations are truly necessary to the prosecution of this action.

The

attempts to amend the second through fifth cause of action is not properly before the Court and is denied without prejudice.

CONCLUSION

The

Court DENIES without prejudice the Motion for Attorneys Fees. The Court DENIES without prejudice the request to amend as to claims two through five, and will discuss with the parties whether leave to amend the first cause of action is truly necessary. Once the first claim is complete, the Court will transfer this case to Department 534 (previously Department 1) for reassignments to an independent civil courtroom. The motion for leave to intervene is permanently off calendar as a result of the July 21, 2026 stipulation.

IT IS SO ORDERED.

Dated: July 29,
2026

Joseph
Lipner

Superior
Court Judge